ernment, business and citizens.

Government departments operate in isolation, and surely the first logical step to a single window government is to create coordination architecture. And perhaps the first government function to be tackled could be financial management. Right from the preparation of the budget to its execution and tracking of funds, every department goes through the same set of pains.

Obviously, an integrated financial management solution should also enable governments to switch from cash-based accounting to accrual-based accounting. This fulfils two functions - it protects the government's information technology investment from future changes in accounting standards. And secondly, it also adheres to the World Bank Treasury Reference Model, which ensures that the global best practices in managing government financial systems are adopted.

developing countries have tried to e-enable their service delivery mechanisms. But to date, most implementations have centered on publishing of information with isolated instances of transactional service delivery through government portals.

One successful attempt has been eSeva in Andhra Pradesh, where change management is handled deftly.

In fact, it is municipalities that are aggressively adopting e-governance. But, they face problems in scaling up to this demand. A primary issue holding them back is their financial management processes and systems.

It is believed that municipalities would benefit from a clearer division of functional responsibilities and enhanced linkage among different levels of government that will ensure upward and downward accountability. It will also help state finance corporations in their constitutional task of

"Municipalities are aggressively adopting e-governance. However, they face problems in scaling up to this demand. A primary issue holding them back is their financial management processes and systems."

Next on the roster of activities is coordinating and collaborating with other departments and agencies, managing employees and payroll, managing large government projects, and providing effective public services.

Technologically, government solutions are mission critical—no government can provide the excuse that it could not function because of a system failure. Therefore, the systems need to have high availability built-in.

The other pillar of technology is security. Imagine having systems with every bit of municipal data. Any security compromise on such a system will completely undermine the faith in the government and may even lead to serious financial losses. One process of ensuring that the appropriate security is built into the solutions is to adopt solutions having appropriate security certifications.

The technology stack in total, includes technology pieces like packaged applications, database, application servers, operating systems, business intelligence (datawarehousing and datamining), support systems, Geographic Information Systems (GIS), open source software, document management, knowledge management, smart cards, biometrics, telemedicine, and wireless.

Once the government has its backend in place and has crystallised its application architecture and IT architecture, it would be in a position to roll out citizen-oriented services.

Many national, state and local governments in

devolution of funds to municipalities.

One problem, though: Most municipal bodies in India, with the exception of Tamil Nadu, follow the traditional governmental cash basis accounting system. Some forward-looking municipalities like the Kolkata Municipal Corporation, have also adopted a modified accrual basis of accounting as an intermediate basis of accounting.

One of the key problems arising out of the cash basis of accounting is that municipalities do not prepare or publish balance sheets. Because of this practice, the overall financial position (assets, liabilities, receivables or payables) of the municipality is not known at any point in time. Moreover, the accrued income or expenditure is also not known. There are no journal vouchers or revenue and expenditure accounts. Hence, the financial status of the municipality, for the period or year, is not known.

Such a situation leads to difficulty in managing the municipality. It makes it tough for municipalities from going in for innovative financing of its projects by issuing bonds or using other financial instruments. So it is obvious that implementing integrated financial management systems for municipalities would benefit them tremendously.

In addition, municipalities like the Ahmedabad Municipal Corporation is using appropriate e-governance solutions to increase revenue generation by a phenomenal 125 per cent. The Kalyan Dombivli Municipal Corporation (KDMC) near Mumbai has used e-governance to create a highly successful online citizen service with the objective